convict colony at Port Jackson. Since then, Australian life has been crucially influenced by the interaction between its people and the sea.

Modern Australian economy has been shaped by city access to ports, the growth of shipping and ship-owning, the progress of coastal, regional and overseas trade, the development of merchant firms, and links between the major port gateways and their hinterlands. This has also caused the emergence of a strong maritime workforce in the southern hemisphere.

The growth of tourism, beach culture, ferries and harbor services have also led to the development of modern Australian social history. Each Australian state capital is located on or near a port site which provides access to the ocean and shore with productive hinterlands. This reflects the early European settlements of Australia, which were initially based within easy reach of the coast.

Sydney and Hobart, both with fine natural harbors, had become flourishing centers for shipping and trade by the early 19th century. In both cases, wharves and quays were the site of the first houses in each city and the pattern of housing stretched inland from these initial sites. Adelaide and Melbourne had locations on the Torrens and Yarra rivers, respectively. After some time, ports were eventually built at Port Adelaide and Port Melbourne. Williamstown also served as a port for Melbourne and Brisbane had a riverside setting. Perth, on the Swan River, had no suitable harbor for vessels because of the shallow estuary on which it was situated. Because of this, Fremantle was built as the main port to service Perth and its hinterland.

Each of these cities established shipping facilities and gradually became linked in coastal and regional trade. Overseas liners worked around the coast to discharge the goods they brought and take on cargo for the return voyage. In the coastal trade, the Australasian Steam Navigation Company was one of the national companies. It played a leading role in the coastal trade between the 1850s and 1880s with ships that sailed from Rockhampton in Queensland to Albany in Western Australia.